LEARNING CENTRE

WHAT IS FINANCIAL PLANNING?

It is the process of setting and planning your financial goals and helping you achieve these goals

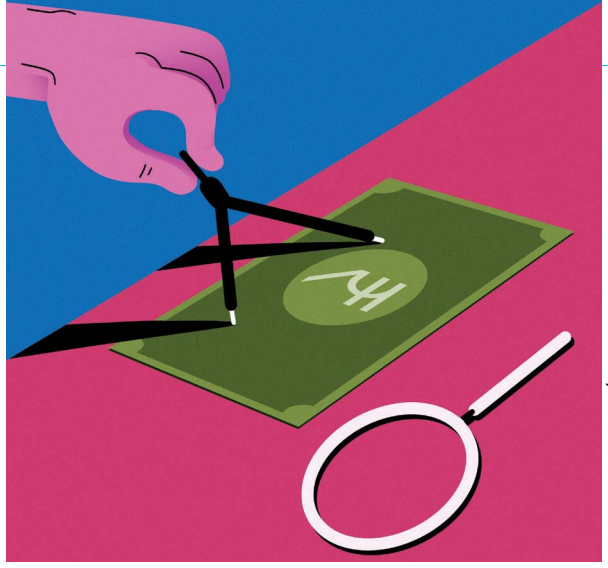


Illustration by SIDDHANT JUMDE

Financial planning is an important aspect in life that can help you plan for your future and take better control of your financial goals by helping you to set realistic plans, evaluate alternatives and take effective measures. Often, financial planning is assumed to be investment planning or tax planning, but it is a holistic process that involves everyday budgeting and money management, credit, tax obligation and planning, protecting yourself and your family against financial risks, setting financial goals and working on them and saving for retirement.

All the above facets of your financial life are interconnected, and financial planning can help you ensure that you have sufficient funds available for your financial goals when needed. That is why a financial plan is not a static document but an ongoing process, which needs to be adjusted as the circumstances in your life evolve. Often, events in life such as marriage, starting a new job, having children or approaching retirement are instances to evaluate and revisit your financial plan. You can develop a financial plan through online DIY models or engage a financial planner.

FINANCIAL PLANNING PROCESS

Make a start by evaluating your current finances—your income, expenses, savings, debt servicing and any other financial obligations that you may have. This will help you figure your net worth, which is calculated as your assets minus your liabilities. Assets are what you own, including savings, property, investments; and liabilities are what you owe such as loans, taxes and other outstanding debts. Your net worth helps you understand how well you have fared financially so far and what you need to do to improve your net worth.

Next, create a budget, which helps you track where your money comes from and where it goes to. Having a budget can help you understand your financial habits and help you take control of your spending and savings. Having a budget will help you understand the difference between needs and wants, and help you check on unnecessary expenses and save money. This step will also help you understand what you can afford and how much you can borrow.

SETTING FINANCIAL GOALS

Everyone's life is different and, based on individual needs, one will have different short- and long-term financial goals. Having a financial goal helps you review your budget, determine your investment time frame and work out a strategy to decide on the appropriate investments that can help you reach those goals. Having a clear and measurable financial goal helps you work towards it; monitor the progress made towards the goal and makes it easy to achieve. Once you list out goals, prioritise them and be realistic of the risks you can take to achieve them.

To realise your goals, you also need to know your risk tolerance. Simply put, risk is the potential threat that may impact the expected outcome of your investments. Generally, investments that have a high-returns potential are risky compared to those with lower returns. Your ability to take risks will determine the investment instruments you choose and the financial path you take to realise your goal.

Lastly, you need to regularly track the progress of your actions towards your financial goals. Having a plan is a start, you need to follow it in a disciplined manner and review it from time to time. By regularly checking the progress made by your savings and investments, you can achieve your financial goals with reasonable certainty. ■

Coming next: Planning Taxes

